Leverage indicates the extent to which a company is dependent on borrowed funds to finance its business. These borrowings would be in the form of debentures, term loans, short term loans and bank overdrafts.

In highly leveraged firms, the owners' funds are minimal and the owners are able to control the business with a fairly low stake. The main risks are borne by the lenders. In good times these companies make large profits, especially if they are in high margin businesses. However, the reverse occurs in times of recession. Interest costs are exorbitant and the large profits made in boom times turn into large losses.

The effect on profits is illustrated in Table 9.2. Company A is a highly leveraged, Company B's borrowed funds amount to 20% of its total funds, and Company C is a cash rich company and does not borrow at all. In a good year the return Company A makes is a stupendous 170% before tax, whereas Company C makes a comparatively modest 50%. It must be noted that so long as the return or the earnings rate exceeds the cost of borrowings, a highly leveraged company will make impressive profits. As this rate decreases profits will fall. In a reasonable year, too, the profits of highly leveraged companies would be more than companies that do not borrow. In the example in Table II, it would be noticed that the return before tax of Company A is twice that of Company C.

**Table 9.2**

| | *Company A* Rs. (lakh) | *Company B* Rs. (lakh) | *Company C* Rs. (lakh) |
|---|---|---|---|
| Share Capital | 40 | 160 | 200 |
| Borrowed Funds | 160 | 40 | ---- |
| | 200 | 200 | 200 |
| *Good Year* | | | |
| Earnings before Interest and tax | 100 | 100 | 100 |
| Interest @ 20% p.a. | 32 | 8 | ----- |
| Income before tax | 68 | 92 | 100 |
| Tax @ 50% p.a. | 34 | 46 | 50 |
| Income after tax | 34 | 46 | 50 |
| Return to ordinary shareholders: | | | |
| Before tax (%) | 170.00 | 57.50 | 50.00 |